

Why Do I Need to Understand This?

After learning about the financial realities of the world, you will most likely want to know how to spend your future money: How much should you invest for retirement every year? How much debt should you pay off each month? How much should you spend on a car? Can you afford each new iPhone when it comes out? The answers to these questions lie in each individual's **budget**. A budget is a detailed and effective spending plan based on your income and expenses.

Budgeting may be the most important step you take toward achieving financial success. The key to avoiding debt, investing in your future, and meeting your financial goals is following a well-planned and detailed budget. If you are not meeting your savings goal each month, you should know exactly how short you are of your goal and where you are spending too much money. Financial success requires discipline and organization, and your budget provides the foundation for these skills.

Some people think budgeting simply means spending as little money as possible, which is untrue. A budget is not one-size-fits-all. Budgeting is entirely dependent upon your finances, lifestyle, and financial goals. There are certain rules of thumb that everyone should follow, but whether or not a person should buy a new MacBook versus a cheaper model really depends on their financial situation and their needs (food, housing, debt, savings, et cetera) and wants (a new phone, concert tickets, gym memberships, and so forth).

While the specifics of a budget will vary with each person, one thing is universally true: everyone needs a budget. Personal finance is all about monitoring your money and controlling where it goes. Without a budget, this is impossible. This chapter is going